

Exchange (SAFE), both Chinese, and the Saudi Arabian Monetary Authority (SAMA) are about equally large. Other comparably sized funds include the Abu Dhabi Investment Authority (ADIA) and the Government of Singapore Investment Corporation (GIC), but their size has only been estimated because these funds do not report their AUM. So there is an enormous amount of money in SWFs—estimates put the figure at upwards of \$5 trillion and growing.

The line between SWFs, reserves, and national pension funds is blurry, but we do know that all these funds have dramatically increased since 2000. Figure 1.1 graphs world foreign exchange reserves as compiled by the IMF (the Currency Composition of Official Exchange Reserves, or COFER). These are voluntary reports and don't coincide with the monies in SWFs, but there is some overlap. In fact, some countries, like China and Korea, have created a SWF (or two) by hewing them out of foreign exchange reserves. Figure 1.1 shows a dramatic growth in reserves from less than \$2 trillion in the 1990s to more than \$10 trillion in 2012. The AUM of SWFs (which we do not directly observe) would mirror this trend. The COFER numbers hugely underreport foreign reserves because China, which holds more than \$3 trillion in reserves, does not report to the IMF.⁶ Although some developed countries, like Norway, are accruing large amounts of foreign assets in SWFs, the rise in sovereign wealth has been concentrated in emerging markets.

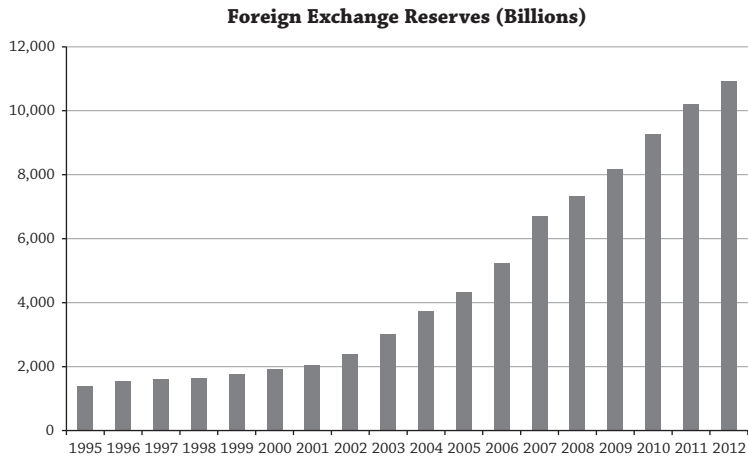


Figure 1.1

⁶ China is one of the few countries not to disclose the portfolio composition of its foreign currency reserves. Experts estimate, though, that it is the largest holder of U.S. Treasuries. The breakdown of reserves within SAFE, which is responsible for investing most of China's foreign exchange reserves, is convoluted. See Hu (2010).